NORTHSTAR DEMO SERVICES

SALARY AND PAYROLL POLICY

Document Version: 1.0

Effective Date: 01 January 2026

Department: Finance Operations

1. PURPOSE

This document describes salary structure, payroll processing, salary payment schedules, and payslip procedures.

2. MONTHLY SALARY PROCESSING

Salary is calculated monthly. The payroll period starts on the first calendar day and ends on the last calendar day of the month. Salary is scheduled to be credited on the final working day. If that date is a bank holiday, payment may be credited on the preceding working day.

3. SALARY COMPONENTS

Basic Salary: Fixed base component.

House Rent Allowance: Housing-related allowance.

Flexible Allowance: Additional salary component.

Special Allowance: Additional fixed component.

Variable Pay: Performance-based component, if applicable.

Gross salary is total eligible earnings before deductions. Net salary is the amount payable after applicable deductions.

4. SALARY DEDUCTIONS

Deductions may include Provident Fund contributions, professional tax, income tax, unpaid leave adjustments, and other authorized deductions.

5. PAYSLIP GENERATION

Payslips are generated every month and can be downloaded from the employee self-service portal. Employees should verify salary components and deductions. Discrepancies should be reported within 30 calendar days of publication under this sample procedure.

6. VARIABLE SALARY

Variable pay may depend on employee performance, project performance, business performance, and approved compensation plans. It is not guaranteed unless specified in the applicable agreement.

7. SALARY REVISION

Salary revisions may occur during annual performance reviews. Decisions may depend on employee performance, business requirements, market benchmarks, internal compensation structure, and management approval.

8. PAYROLL QUERIES

Employees should contact payroll-admin@example.invalid and mention the salary month and issue. Passwords and bank credentials must never be shared through email.

9. POLICY REVIEW

The Finance Operations department reviews this sample policy annually.